

Feed in Tariff (FiT) [1]:

- Financial incentives to homeowners and businesses generating renewable energy
- Pp to 5 MW or 2 kW for Micro CHP
 - o Solar photovoltaic
 - o Wind
 - o Micro combined heat and power (Micro CHP)
 - o Hydro
 - o Anaerobic digestion (AD)
- Costs & benefits
 - o Spread across licensed electricity suppliers (licensees)
 - o Licensees pay according to market share
 - o FiT generators receive support for 10 – 25 years depending on technology type

Smart Export Guarantee (SEG) [2]:

- Introduced January 2020
- Replaces the FiT scheme, and is mutually exclusive with Feed in Tariff
- 5 MW or 50 kW for Micro CHP
- Costs & benefits
 - o Mandatory SEG Licensee
 - At least 150,000 domestic electricity customers at 31th December of previous year
 - o Voluntary SEG Licensee
 - Fewer than 150,000 customers
 - o Rates offered by Licensees are not fixed, for example ScottishPower provides the following [3]:
 - 12p / kWh for customers who meet SEG criteria
 - 15p / kWh for customers who meet SEG criteria AND installed their PV system / batteries through ScottishPower
 - o Quarterly payments
- Energy Saving Trust provides easy calculations for various settings such as:
 - o Latitude
 - o Roof types
 - o Shade
 - o Electrical consumption

Domestic Renewable Heat Incentive (RHI) [4]:

- Valid for 7 years and based on heat made by the systems
 - o Biomass boilers
 - o Solar water heating

- Certain heat pumps
- Closed 31 March 2022
 - 110,281 installations
 - 7.04 TWh clean heat generation
 - £ 819.3 million paid
- Superseded
 - Green Gas Support Scheme (not related to PV)
 - Boiler Upgrade Scheme (not related to PV)

Renewable Energy Guarantees of Origin (REGO):

- Provide transparency and reassurance regarding origin of electricity
 - Non-profit
 - Allows electricity suppliers to purchase REGOs
 - Helps with UK government's renewable energy goals

Contracts for Difference (CfD):

- Incentivise investments at minimal cost to consumer
- Competitive Auction Process
 - Conducted by nationalgridESO
 - Periodically hold competitive auctions for renewable energy developers to bid
 - Protection from government policy changes
 - Predetermined max strike price (set by government)
- Helps renewable energy generators
 - Increased investor confidence by reducing risk
 - Stabilise income for generators (typically 15 years)
 - Encourage investment
- Guaranteed revenue for low carbon generator through contract with Low Carbon Contract Company (LCCC)
- Based off market reference price (IMRP) and strike price
 - If IMRP < strike price, awarded top up payment
 - If Strike price < IMRP, paid back.
 - Protects consumers from energy cost volatility

Renewables Obligations scheme (RO):

Reference

[2] <https://www.gov.uk/government/publications/smart-export-guarantee-seg-earn-money-for-exporting-the-renewable-electricity-you-have-generated#:~:text=Details,any%20that%20you%20use%20yourself.>

[3] <https://www.scottishpower.co.uk/smart-export-guarantee>

[4] <https://www.gov.uk/domestic-renewable-heat-incentive>

[5] <https://www.lowcarboncontracts.uk/our-schemes/contracts-for-difference/>